Manager Compensation Guidelines

Kestrel Ridge Logistics - fictional company for demonstration purposes

1. Purpose and confidentiality

These guidelines are confidential and intended only for people managers. They must not be shared with individual contributors.

2. Salary bands and merit increases

Salary band L1 ranges from COP 3,200,000 to COP 4,500,000 per month and band L3 ranges from COP 7,000,000 to COP 9,800,000 per month.

The merit increase budget for 2026 is 6.5% of the team payroll. An individual increase above 12% requires approval from the VP of People.

3. Annual bonus

The annual bonus target is 8% of base salary. The payout multiplier ranges from 0% to 150% depending on the performance rating, and bonuses are paid in March.

4. Promotions

Promotions are decided in two windows per year, in April and in October, after the calibration committee. A promotion comes with a salary increase between 8% and 15%.

5. Retention

Counter-offers always require approval from the Chief People Officer. A retention bonus can be at most 20% of the annual salary and carries a 12-month clawback.

6. Terminations

Managers must consult the HR legal team before communicating any termination.